

lieutenants from NeXT were in charge of software as well as hardware. They slowly assumed the most important roles in the company. *Fortune* magazine came out with an issue which had Apple as the cover story in February, 1997. The title read “Something’s Rotten in Cupertino,” and it focused on Apple’s poor state and Amelio’s role in bringing the company to that state, ignoring all the reforms he had done to reduce the losses the company was suffering. The story was written by a friend of Jobs, and it more than just hinted at Jobs’ being made the CEO of the company.

Gil Amelio was asked to resign from the company in July, 1997. When Gil had taken the job as Apple CEO, he told the board that he would need three years to nurse the company back to health. Now the board had fired him after a year and a half. Gil later regretted that he had not put a three-year “no fire” clause into the terms of his contract. Few people seem to take note of the most significant fact of Gil Amelio’s reign at Apple; when he took over, the company had enough money in the bank to survive for three months; when he departed, he left a legacy of \$3 billion in cash. Fred Anderson, chief financial officer for Apple, was put in charge of day-to-day operations, and Steve Jobs was made the interim chief executive officer of the company.

The first call he made was to, of all people, Bill Gates, and told him Apple was ready to grant him the user interface agreement—an agreement that would allow Microsoft to design a user interface like Apple’s. They made a deal that called for Microsoft to invest \$150 million in Apple and to continue to update and sell Microsoft Office for the Mac. It also bound Apple to bundle Internet Explorer as the default Web browser on all Macs. These announcements were met with boos and catcalls from the crowd gathered at Macworld, 1997.

Jobs, being the co-founder of Apple, instinctively understood some things about Apple that other CEOs failed to grasp. He knew it that the Mac OS was the reason people bought Apple computers and if other companies started selling computers that were capable